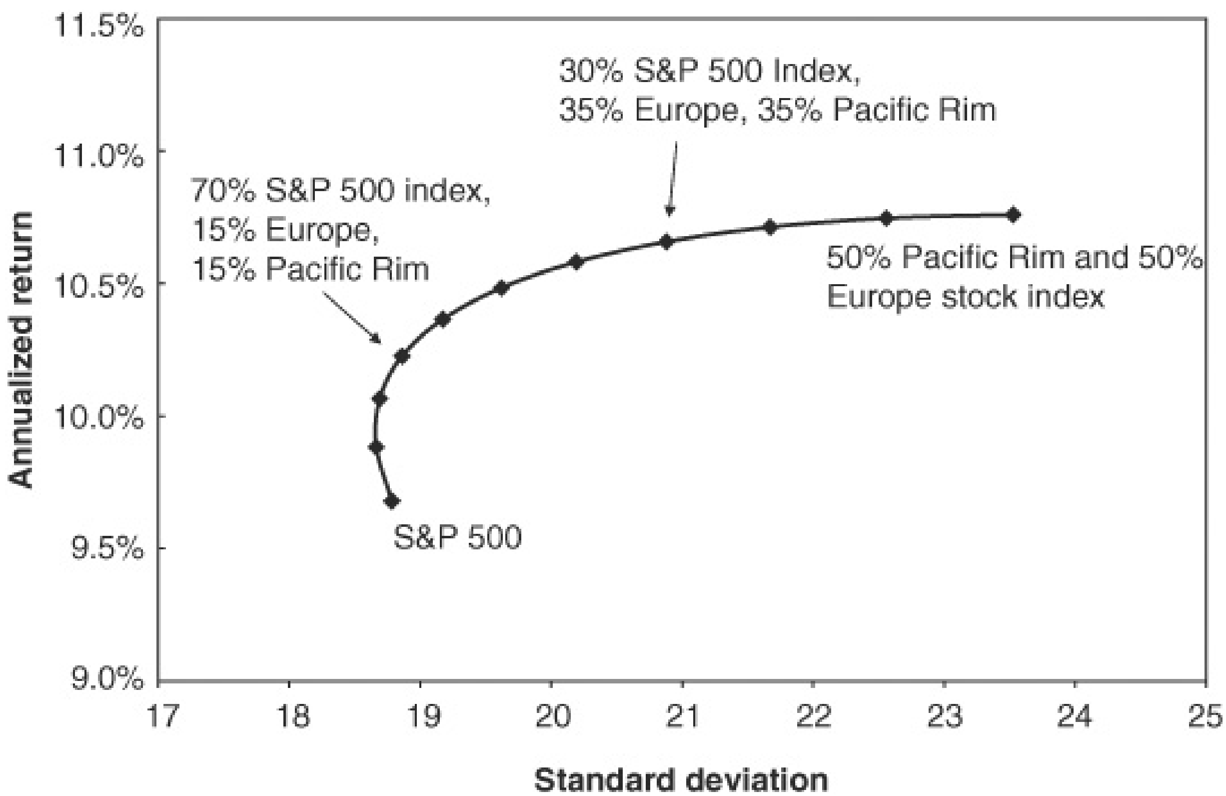
two ends show that U.S. stocks had lower risk and lower return than the international mix. The 30 percent position is where an investor gained about 0.5 percent in extra return over the U.S. stock market without adding any risk. After that point, each incremental gain in return is paid for with an increasing amount of risk. The 70 percent international position is an inflection point where returns gained basically end. From this point forward, adding more international stocks adds mostly risk.

FIGURE 4-2

S&P 500 and International Mix, 1973–2009



Multi-asset-class investing works over the decades, but not every decade. There have been long periods when international stocks took away from a U.S.-only portfolio, and other times when there was no excess return advantage after adjusting for added risk. Figure 4-3 illustrates the risk-and-return chart over three independent decades starting in 1980.

International stocks have had higher volatility than U.S. stocks in all of the past three decades, although they did always have higher returns. U.S. stocks outperformed international stocks by 8 percent annually during the 1990s. This led a few prominent icons in the investment industry to